

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY SA

JOINT STATUS REPORT

Pursuant to the Presiding Officer's December 21, 2021 Revised Scheduling Order, the undersigned counsel for Complainant MCS Industries, Inc. ("MCS") and Respondent MSC Mediterranean Shipping Company SA ("MSC" and, collectively with MCS, the "Parties") jointly file this status report.

I. Pending Motions

A. Complainant's Status Report

On December 23, 2021, Complainant filed a Verified Amended Complaint and accompanying motion for permission to file it. Respondent filed a memorandum in opposition to Complainant's motion on December 30, 2021. Complainant's motion is ripe for decision by the Presiding Officer.

On December 23, 2021, Respondent filed a motion to dismiss the initial Verified Complaint. On January 7, 2022, Complainant filed a memorandum in opposition Respondent's motion, arguing, *inter alia*, that Complainant's motion for permission to file its Verified Amended Complaint renders Respondent's motion moot. Under Rule 70(c) of the Federal Maritime Commission's (the "Commission") Rules of Practice and Procedure (the "Rules"), 46 C.F.R.

§ 502.70(c), Respondent has until January 14, 2022 to file a reply. As of this writing, there are no other motions pending before the Presiding Officer.

B. Respondent's Status Report

Complainant's motion for leave to file an amended complaint has not been decided, and would render the pending motion to dismiss the existing Complaint moot only if the leave were granted, and without any consideration of the issues in the motion. Respondent respectfully submits for the reasons it has stated in its opposition to the motion to amend that it should not be granted, among other reasons because the amended complaint would substantially expand the limited geographic and temporal scope of this case and because Complainant waited nearly five months to file it, based on information (Complainant's 2020-21 contractual Minimum Quantity Commitment shortfall) that was fully known to it when it filed its Complaint at the end of July.

Respondent will file its reply in support of the motion to dismiss on or before January 14, 2022.

II. Party Discovery

A. Complainant's Status Report

As of this writing, Respondent has not yet produced *any* documents, communications, information, or interrogatory responses pursuant to the Presiding Officer's December 8, 2021 Order Granting Motion to Compel. When asked about Respondent's progress on complying with that Order, Respondent's counsel replied that "MSC is working through the Swiss legal issues identified in the joint status report filed just before the holidays." Respondent has not indicated whether any of the documents, communications, or information subject to the Presiding Officer's Order are present in the United States or otherwise available from any of Respondent's employees, agents, subsidiaries, or affiliates in the United States (instead of from Respondent in Switzerland).

Respondent's counsel has not identified *any* date certain by which it will comply with *any* portion of the Presiding Officer's Order Granting Motion to Compel.

On December 7, 2021 (prior to the Presiding Officer's Order Granting Motion to Compel and Revised Scheduling Order), Complainant served a second request for production of documents and electronically stored information on Respondent, instructing Respondent to demand and collect from Shandong Smart International Logistics Co., Ltd. ("Smart"), Qingdao JET Marine Logistics Co., Ltd. ("JMS"), and China Ocean Shipping Agency, Tianjin Co., Ltd., doing business as PENA VICO Tianjin ("Penavico")—each of which Respondent publicly identifies on its own website as an "MSC China booking agent"—the documents, communications, and information that the Presiding Officer previously instructed Smart, JMS, and Penavico to produce to Complainant pursuant to the subpoenas issued by the Presiding Officer on November 3, 2021. Respondent served responses and objections to Complainant's second request for production on January 6, 2022, attaching three documents, indicating that additional responsive documents would be forthcoming, and further indicating that it would seek from Smart, JMS, and Penavico the requested documents and provide them to Complainant. As of this writing, Respondent has not identified a date certain by which such additional documents will be produced to Complainant.

Counsel for the Parties also have corresponded recently regarding an informal request by Respondent for the production of certain additional emails by Complainant, which Complainant has collected and will be producing to Respondent.

Due in part to the lack of progress on compliance with the Presiding Officer's Order Granting Motion to Compel and in part to the potential for the currently pending motions to alter the structure and focus of depositions, no additional depositions have been scheduled or taken. Complainant's counsel has requested from Respondent's counsel new dates for the deposition of

Respondent's corporate designee(s) and intends to proceed promptly with other depositions (including the deposition of at least one Switzerland-based employee of Respondent) once Respondent has complied with its documentary discovery obligations under the Rules and the Presiding Officer's Order Granting Motion to Compel.

B. Respondent's Status Report

At the parties' December 16, 2021 conference as to the joint status report filed December 20, 2021, Respondent's counsel was fully open with Complainant's counsel as to the likelihood that, because the order compelled production and thus would be viewed by the Swiss government as implicating its sovereignty, Swiss law could require procedures that could prove time-consuming to comply with the discovery order under the Hague Convention, which could involve formal intergovernmental requests. Respondent has sought Swiss legal advice on the matter to assure that it is in compliance with Article 271 of the Swiss Criminal Code, and will provide notification as soon as it is confirmed which formal procedures are required so that those processes can be undertaken. Respondent has been informed that the processes often can be completed in less than two months.

During the conference Complainant's counsel stated his familiarity with these issues and his understanding that the process could be time-consuming. The parties thus agreed not to propose a specific target date for substantial compliance with the Motion to Compel. Your Honor instead set a firm deadline and MSC is moving forward diligently to meet it. Complainant also suggests that some documents might be present in the United States or elsewhere outside the reach of the Swiss law. Again, Respondent has sought advice from Swiss counsel on the scope of the Swiss law. In any event, most if not all of the documents in the United States concern

Complainant's contract and the carriage of its cargo, and MSC believes those documents have already been provided.

Complainant has stated that it does not wish to take any depositions until it receives all or substantially all of the documents it has requested. *See, e.g.*, Dec, 20, 2021 Joint Status Report, at 2 (stating that case timing should “not prejudice either of the Parties’ ability to (1) review further productions and responses, including for compliance with the Order, in advance of taking fact depositions, (2) notice, prepare for, and take fact depositions on the basis of a substantially complete factual record . . .”). Complainant has also stated that it plans to serve additional discovery, perhaps because it has not sought discovery as to the greatly expanded time period and scope of its proposed amended complaint, and if the motion to amend the Complaint is granted Complainant will have to start discovery over again on a wholly new contract year. As stated in the parties’ prior status report, any additional discovery can proceed in parallel with the process of assessing necessary procedures for compliance with the discovery order.

Finally, Complainant states that Counsel for the Parties also have “corresponded recently regarding an informal request by Respondent for the production of certain additional emails by Complainant, which Complainant has collected and will be producing to Respondent.” This statement refers to monthly reports that Complaint’s agent Expeditors International prepares for Complainant that Respondent believes were directly responsive to its discovery requests and that are of obvious relevance to Complainant’s claims, but that were not provided by Complainant in discovery. This issue came up at the December 8, 2021 deposition of Complainant’s transportation manager, and Respondent renewed its request for the documents both at and after that deposition. Complainant has not identified a date certain by which such additional documents will be produced to Respondent.

III. Non-Party Discovery

A. Complainant's Status Report

The Presiding Officer has issued four subpoenas to non-parties in this case—Smart, JMS, Penavico, and Expeditors International of Washington, Inc. (“Expeditors”)—all of which Complainant promptly served on their respective registered agents for the service of process in the United States. Since that time, Complainant’s counsel has followed up on the subpoenas with those registered agents (and, with respect to Penavico and Expeditors, their respective outside counsel) and provided the subpoena recipients with updates regarding the case, including the Revised Scheduling Order. To date, Complainant has not received any formal responses or objections to any of the subpoenas, or any document productions, but continues to communicate with the subpoena recipients (and/or their counsel) with the goal of avoiding the need for formal action to enforce the subpoenas. In particular, Complainant expects to receive Expeditors’ document production in the coming weeks, after which it will schedule and conduct the deposition of Expeditors’ corporate designee(s). As detailed above, Complainant understands that Respondent, pursuant to Complainant’s second request for production, is seeking production of responsive documents from Smart, JMS, and Penavico.

B. Respondent's Status Report

Complainant served its third party subpoenas in November and states it has not yet received any formal response to them. It asked Respondent last month to “demand” that these same third parties provide the documents to Respondent. Respondent has only a contractual relationship with these third parties, but is determining whether that is sufficient to make such a demand or request, and will do so promptly if so. Respondent has already advised counsel for at least one of these parties that such a request may well be forthcoming. Complainant states that Respondent has not

provided “date certain” by which it will receive a response to such a request, but Complainant itself has not received any formal response from these parties despite issuing its subpoena a month prior to making the request of Respondent.

Respondent also plans to serve its own subpoena on Complainant’s agent Expeditors International, as Complainant’s own subpoena does not seek certain pertinent documentation, for example as to Expeditors’ relationship with the third party booking agents Smart, JMS, and Penavico that it selected to make bookings on Complainant’s behalf.

Dated: January 10, 2022

Respectfully submitted,

HUTH REYNOLDS LLP

K&L GATES LLP

/s Matthew J. Reynolds (by permission)

Matthew J. Reynolds
(646) 872-9353
reynolds@huthreynolds.com
Karl C. Huth
(212) 731-9333
huth@huthreynolds.com
Sara G. Wilcox
(415) 676-1773
swilcox@huthreynolds.com
41 Cannon Court
Huntington, NY 11743

*Counsel for Complainant
MCS Industries, Inc.*

____ John Longstreth _____
Michael F. Scanlon
John Longstreth
Ifigeneia Xanthopoulou
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
Email: michael.scanlon@klgates.com
john.longstreth@klgates.com
ifigeneia.xanthopoulou@klgates.com

*Counsel for Respondent MSC Mediterranean
Shipping Company SA*